MONEY AND BANKING IN THE UK

A History

Michael Collins

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MICHAEL COLLINS

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ABBREVIATIONS

billion = one thousand million
the Bank = Bank of England
'England' sometimes refers to England and Wales
PP = Parliamentary Papers
in tables: n.a. = not available
- = insignificant amount

PREFACE

This study provides a long-term perspective on both the development of banking institutions and the evolution of monetary policy in the UK. Current interest in the history of money and banking remains strong and it is opportune to survey developments in this country. The objective is to provide an historical analysis which incorporates the results of recent research - the aim being to present the material in a form accessible to undergraduates and other students of money and banking, yet to be of use to professional economic historians, economists and bankers.

The years covered by the book - from 1826 to 1986 - correspond to almost the whole period of the UK's experience as an industrial nation, and awareness of the general direction and pace of the country's broad economic development is obviously important to any assessment of long-term monetary change. As will emerge, the course of change in the UK had much in common with other developed nations. This was true, for instance, of the upsurge in the number of banking outlets associated with industrialisation and *per capita* income growth; of the long-term growth in the scale of operations for individual banking units; and - after the early phase of rapid expansion - of the slow-down experienced in the growth of bank deposits relative to other financial assets. Of course, country-specific conditions (national legislation, national economic

environment, etc.) render each nation's monetary history unique but, in the UK's case, these unique features are of wide interest. The UK was the leading industrial and commercial power for much of the nineteenth and early twentieth centuries. One consequence was that the City of London's financial institutions gained a prominent position within international money markets and, in particular, the nineteenth century saw the emergence of the pound sterling as the world's key currency. Subsequently, though, Britain's economic performance underwent relative decline as other nations industrialised and achieved faster growth rates and much of the economic history of the present century has been one of (often painful) adjustment to the realities of decline – realities which have had important consequences for Britain's international role, for institutional arrangements within money markets and for the conduct of monetary policy.

The book is concerned with developments in three main areas of monetary history: domestic commercial banking; monetary policy; and the UK's international financial position. For ease of analysis, the 160 years under study are arranged into three clear chronological divisions.

Part I covers the years from 1826 to 1913, a period in which the UK emerged as the world's leading economic power. It was in these years that an extensive and fully-operative domestic banking system was established. The state did attempt to create a legislative framework for the system, but minimum interference was more characteristic of governmental attitudes and the conduct of what passed for a minimal monetary policy was left largely in the hands of the privately-owned Bank of England. Internationally, the UK sought to minimise the potential for discretionary policy decisions by espousing full currency convertibility and stable exchange rates under the gold standard.

In many ways the years from 1914 to 1939 – which are covered in Part II – marked a break in the traditional monetary arrangements of the Victorian and Edwardian eras. The earlier slow-down in the growth

of commercial banking was confirmed in the interwar years, but more noticeable changes affected the conduct of policy and the position of the City of London within the world economy. The First World War led to a sharp increase in the state's involvement in financial markets. First, the legacy of large wartime debts and, then, the economic traumas of the 1920s and 1930s forced the Treasury to abandon its traditional stance and become more active in the conduct of monetary policy. Declining exports led to high unemployment and weakened the authorities' ability, and commitment, to maintain the international gold standard. More discretion was called for – and exercised – than ever before.

Part III of the book covers the most recent period, from 1939 to 1986. The dominance of state influence within the domestic money markets was re-established by the Second World War and the immediate requirements of state finance continued to determine the composition of banks' assets for more than a decade after the war. Of even greater long-term significance was the acceptance by the authorities of the obligation to 'manage' the economy, which meant that successive postwar governments took direct responsibility for the conduct of monetary and credit policy. The position that monetary instruments held within different governments' overall economic policy varied but, on trend, monetary policy emerged from relative obscurity in the 1940s to become the central feature of the Thatcher government's economic strategy of the early 1980s. In money markets, the high street banks found themselves losing ground in the provision of domestic retail banking services to non-bank financial intermediaries such as building societies; and, internationally, the opening-up of world money markets from the late 1950s led City institutions into intense competition, particularly with the successful US and Japanese banks. The UK's relative economic decline meant that sterling's role as a key international currency also declined and re-occurring weaknesses on the external account meant that exchange rate considerations had a significant influence on monetary

policy decisions throughout the postwar period. This was true of all three main exchange rate regimes experienced since World War II – of the years up to 1958, when the UK was committed to maintaining stable exchange rates but with restricted convertibility; of the period from 1958 to 1972, when there was both exchange rate stability and convertibility; and of the years since 1972 when the authorities maintained convertibility but allowed much greater freedom for movements in exchange rates.

Finally in these introductory remarks it is worth emphasising that the UK commercial banking 'system' has, in fact, comprised three distinct systems: one in England and Wales, another in Scotland and a third in Ireland (or Northern Ireland). Different legal frameworks ensured their co-existence as quite separate entities for a good part of the period, although cross-country links have been more evident in the twentieth century. The main features of all three systems are detailed in the pages that follow but, inevitably, more weight is given to developments in England. This is, in part, recognition of the relative quantitative importance of English banking provision in both domestic and international markets, but it also reflects the fact that it has been in England where the seat of power has been located. In particular, policy was formulated, first, by the Bank of England and, then, by Westminster governments.

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PART I: 1826–1913

Chapter One

BANKING IN THE EARLY NINETEENTH CENTURY

INTRODUCTION

The banking sector faced catastrophe at the end of 1825. In the two years, 1825–6, 93 banks in England and Wales found themselves unable to fulfil the most fundamental of all bankers' obligations – they were unable to pay cash to their customers on demand.[1] It is this inauspicious episode that marks the beginning of the present account of the evolution of modern banking in the United Kingdom. The banking crisis had arisen out of more general problems facing the economy and it will be a recurrent theme that economic pressures from the non–banking world often invoked important changes in the environment in which the commercial banks had to operate.

The major 'environmental' change in 1826 came from Parliament, where Lord Liverpool's government successfully introduced two pieces of legislation aimed at bolstering the defective English commercial banking system. The first act[2] forbade, from 1829, the circulation of bank notes of under £5 denomination in England and Wales, and *de facto* stopped immediately the stamping of new notes of this type. The Banking Co–partnership, or Joint–Stock Bank, Act[3] was the second, and more important, of the legislative measures. This act sought to provide greater stability by allowing banks access to larger capital resources.

Since 1708 the Bank of England had been the only English bank able to raise capital from a large body of proprietors, all other banks in England and Wales being restricted by Act of Parliament to a maximum of six partners. The Joint-Stock Bank Act attacked this legislative monopoly and permitted the formation of banks with an unlimited number of partners, or shareholders, outside a radius of sixty-five miles from London.[4] Although there remained many difficulties, and although it was to take the best part of the nineteenth century for the process to be consolidated, with hindsight it can be seen that the Joint-Stock Bank Act of 1826 laid the legal foundation for the emergence of the modern form of bank - a bank whose corporate structure and large capital resources enabled it to build up an extensive national, indeed international, business.

EARLY BANKING HISTORY

In 1826, of course, legislators had had little inkling of such developments and had merely sought to strengthen an already expanding sector. For England it is useful to distinguish between the expansion that was occurring in London and expansion elsewhere. The earliest English bankers were the London money scriveners and goldsmiths.[5] By the middle of the seventeenth century they were in regular receipt of deposits which, in turn, were lent at interest in the normal manner of financial intermediation; although their clientele was restricted to a select group of wealthy merchants and landowners. In 1694 the importance of the London money markets had been enhanced by the creation of the Bank of England.[6] The immediate reason for the Bank's formation was the need of government to raise finance and, as will be shown in later chapters, the close relationship with the government of the day was to have a critical bearing on the ultimate emergence of the Bank as a truly central bank. The Bank operated the government's main accounts as the government's banker and continued to enjoy a privileged position in

consequence. By the early eighteenth century it had already emerged as the largest and most prestigious financial institution in England. From its earliest days one important function was to issue notes. Initially these rivalled those of the London private bankers but through the eighteenth century the Bank established a virtual monopoly of note issuing in London – in the metropolis its notes were generally treated as cash by bankers and public alike, although they were not to become legal tender until as late as 1833.

The London money market was developing in other respects, too. Although many banking partnerships were of a transitory nature and some firms carried on banking and non-banking activities side by side, an increasing proportion of private bankers was specialising. True, their note circulations were falling away but opportunities for financial intermediation were expanding along with the general upward trend in economic activity. Such opportunities were probably greater for those bankers in the City of London who tended to specialise in the handling of mercantile accounts, in contrast to the more genteel West End bankers who relied heavily on the accounts of the aristocracy. One important aspect of the expansion of commercial banking services in the capital was the increased use of cheques. Their use was greatly facilitated by the establishment, by 1773, of the London Clearing House. The Clearing House was to provide an effective means of mutual exchange and cancellation of claims among the London bankers.[7] In this way they were able to minimise the transaction costs involved in operating a cheque system because only the balance of claims need now be paid in cash (most often, in Bank of England notes).

Overall, such developments reflect the continued expansion of London banking through the eighteenth century, a time of consolidation and increased professionalisation. By the opening of the period under study, London had already acquired a well-established commercial banking sector even though the Bank of England's joint stock monopoly had restricted the potential size of individual firms.

Banking changes were bound up with the changing pace of economic development. Britain's Industrial Revolution was marked by a growth in both productive and trading sectors, the greater accumulation of wealth holdings and increased sophistication of economic relations. The pervasive rise in the scale of economic activity made specialisation, including financial specialisation, more feasible and economic development called for more advanced mercantile and financial arrangements. Here, the commercial banker played a central role: in the provision of credit, media of exchange and remittance facilities; as well as providing the more traditional service as a safe repository for valuables.

Economic development was not confined to London and in other parts of the kingdom, too, there was a positive response to the growing demands for financial intermediation. Because of their separate legal and economic identities banking developments in England and Wales, Scotland and Ireland followed three distinct, though not dissimilar, courses. In Ireland, small private banking partnerships had first emerged during the late seventeenth century. The system consisted of about eleven private banks (half of them in Dublin) plus the Bank of Ireland which had been created through legislative charter in 1783.[8] The Bank of Ireland dominated the system, all other banks being puny in comparison. It was the government's bank in Ireland and special privileges, partially modelled on those of the Bank of England, granted it a monopoly of the joint stock form of ownership, guaranteed access to large capital resources and ensured a high volume of business. However, as the Bank of Ireland confined its activities to Dublin, Irish provincial needs were met by the private bankers and by merchants and bill discounters who acted as quasi-bankers.

The severe financial crisis of 1820, in which one-half of the banks in southern Ireland failed, was to be a watershed in Irish banking developments. It 'marked the beginning of the end of the private banks in the south' of the country[9] and provoked legislative

changes which were to have important implications for the banks in England. In 1821 the London Parliament responded to the difficulties of the previous year by restricting the Bank of Ireland's privileges and permitting the formation of banks with over six partners outside a radius of fifty (Irish) miles from Dublin.[10] This reform and the Irish Banking Act of 1824, led to the creation in the 1820s and 1830s of joint stock banks with large partnerships and these quickly displaced the smaller, private banks. More widely, these Irish banking reforms were to serve as a model for the English legislation of 1826.

In fact, those favouring reform in both Ireland and England could already draw upon the Scottish example. Banking firms with a large number of partners had appeared much earlier in Scotland. In 1716 the Bank of Scotland had lost its joint stock monopoly, which meant that future developments could proceed unfettered by this particular restriction.

Scottish banks had first emerged in the late seventeenth century and modest growth continued through the first half of the next century. During the third quarter of the eighteenth century, however, Scotland enjoyed a tremendous expansion in banking services. 'By 1772 ... the banking system of Scotland was perhaps the most developed in Europe, ready to respond to the demands of rapid industrialisation.'[11] The most stable elements of the system were the three public (or chartered) banks based in Edinburgh – the Bank of Scotland, the Royal Bank of Scotland and the more recently-formed, British Linen Company.[12] In addition there were private firms operating outside Edinburgh. In the early stages of development some of these private partnerships offered banking services as an adjunct to their normal business (e.g. sugar importers), but by the latter half of the eighteenth century they were operating as specialist bankers. While some of the private firms were akin to the small English country banks, others had quite large proprietorships and, therefore, had access to larger capital resources. All were known as 'provincial banking companies'.

Thus, by 1826 Scotland already had a well-developed system in that its banks had relatively large proprietorships, they often operated more offices than their English counterparts and they were comparatively stable during economic recessions. It was this stability which provided such a persuasive argument for altering English (and Irish) law in such a way as to permit the formation of larger banks.

Specialist banking also came to the English provinces during the second half of the eighteenth century. The lag behind London was due to the capital's early importance in the raising and servicing of government finance and in international financial transactions, and because of the greater scale and significance of much of the metropolis's local economic activity. Outside London some of the banker's functions had long been performed by such professionals as provincial attorneys[13] but it was the second half of the eighteenth century - especially from the 1780s - that witnessed the mushrooming of the provincial specialist, the English country banker.[14]

Even then, the term 'specialist' must be interpreted cautiously, for the turn of the century was a period of very rapid transition. There had been only a handful of provincial bankers in 1750; but this had risen to over a 100 during the 1780s, close to 400 by the beginning of the nineteenth century, and to a staggering 600 or so by the mid-1820s.[15] These banks commonly began as adjuncts to existing, non-bank businesses. Only as the scale of the financial side of their businesses grew did the eighteeth-century industrialist, merchant, or scrivener, move more fully into banking. Some never did so, while others became bankers only temporarily, perhaps abandoning this aspect of their business as partnerships changed or as profits fell. In this transitional period there was a certain degree of flux and, at any one time, there were differences across firms as to the extent of specialisation. Different firms were at different stages of metamorphosis.

The historian of the English country bankers, L.S. Pressnell, has identified three main types of business

activity from which they sprang:

> that of industrialists, whose main concern, was to provide a local means of payment; that of financial intermediaries, most notably the money scriveners, who sought or offered outlets for specific sums of money on behalf of their clients; and remitters of funds between London and the country, principally traders and collectors of government revenue.[16]

By 1826 the process of specialisation had advanced enough to identify a large body of firms known as 'country bankers' who conducted a business which would be recognised readily as banking. So, during the Industrial Revolution England's provincial towns and villages acquired an extensive banking system, providing greater opportunities for both savers and borrowers. But the new system contained serious weaknesses. In particular, the country bankers have generally been seen as a contributory cause of the short-term instability experienced in the period. In economic upswings their numbers and businesses expanded, in downswings they contracted. In this they were not unlike most other business concerns, but as suppliers of media of exchange - of money - the role of the banker took on added significance. Expansion of a banker's business directly encouraged expansion of the business community in general, through the greater availability of loans and means of payment; whereas banking contraction added to general deflationary pressures.

ECONOMIC CRISIS AND THE LEGISLATION OF 1826

For many English contemporaries the case against the country bankers was particularly strong because, unlike their London counterparts, most of them issued bank notes of their own. The banks' customers used these notes to settle debts in their locality and if confidence in the banker was high the notes were an effective

substitute for cash. The bankers saw themselves as providing the community with an additional form of payment and, of course, they made a profit by persuading the public to take payment in their 'promise to pay' rather than in the coin of the realm. On the other hand, critics saw this as a dangerous power to print money. It was considered dangerous because there was no close regulation of the amount of each bank's note issue and critics believed that potential fluctuations in these note issues endangered price stability in the economy as a whole.

In 1826 complaints concentrated on the issue of bank notes of 'small' denominations of £1 and £2.[17] Leading critics had already been alerted to the dangers by the price inflation and the falling gold value of the pound during the French Wars when, from the financial crisis of 1797, the legal requirement on issuers to pay gold on demand for their notes had been suspended. In England the previous ban on notes of under £5 (imposed in 1777) had been removed at the same time and there then followed a period in which the total country note issue apparently increased sharply.[18] Small notes had been due to disappear sometime after the war, in 1823, but the political influence of the country bank lobby proved most effective at a time when there was a general fear of deflation. As a result prohibition of small notes was postponed.

The crisis of 1825–6 was to prove decisive in determining the course of banking developments in England. The economy had been expanding from about 1822, with the pace increasing markedly during 1824. In its later stages the recovery turned to boom, with signs of full employment, general inflationary pressures and speculation in both the capital markets (especially in overseas government and mining securities) and commodity markets. For much of the expansionary phase rates of interest remained low and contemporary opinion assumed that bank liabilities expanded. The Bank of England's position was 'permissive to expansionary', doing nothing to inhibit the expansion. The boom ended in 1825, the most

dramatic feature of the year being the short internal liquidity crisis which was at its most intense in mid-December. This panic for cash seriously depleted the reserves of the banking system and threatened the legal convertibility of notes to gold. During the crisis the public, not without good reason, lost confidence in the ability of the country banks to meet their obligations. As the pressure for liquidity spread to all parts of the country, bank notes were presented *en masse* and coin or Bank of England notes demanded in return. People preferred to hoard their cash rather than entrust it to a banker. Worst fears were realised, for many bankers had insufficient cash and were forced to close their doors to note-holders and depositors alike. London bankers and other financial institutions were implicated and, at its worst, there was a widespread loss of confidence in all but the most secure forms of money and credit. Only by lending freely at the height of the crisis was the Bank of England able to quell the panic and, by the narrowest of margins, avert the threat to convertibility of its own notes.

Obviously, a means of reducing the vulnerability of the system to 'runs' of this sort would have been generally welcomed. Thus, while there were many factors contributing to the nature of the boom and subsequent slump, the instability of the English country banks exposed them to public scrutiny. Their notes had expanded during the boom; and the crisis had fully revealed the vulnerability of this component of the money supply.[19] Country bankers emerged as the main scapegoats, being held largely responsible for the crisis. This is why Parliament's chief concern with banking reform in 1826 was with the abolition of small notes. In this, the reformers were only partially successful – banning notes of under £5 in England and Wales from 1829. However, forceful lobbying from the Scots prevented the ban being extended to Scotland (or Ireland) where there was a much longer tradition of using small notes and where banking stability during the crisis had contrasted sharply with English experience.[20]

To the Bank of England the right to issue notes of under £5 was unimportant. In fact, since 1821 the Bank had been withdrawing its small notes from circulation and it was only during the liquidity panic itself that this process was reversed. But the directors of the Bank saw any threat to their monopoly of joint–stock formation in a completely different light. This constituted an attack on their privileged position which they naturally opposed. In the aftermath of the crisis, however, the government was determined on reform. The government believed that, in tandem with its new restrictions on small notes, abolition of the Bank of England's joint stock monopoly would strengthen the structure and practice of commercial banking and could well reduce recurrent oscillations within the economy. If nothing else, it would enhance the ability of commercial banks to withstand 'runs'. Larger partnerships should produce larger banks with access to larger capital resources. Moreover, as with the country banks, partners in the new banks would bear unlimited liability for the firms' debts. It was felt that the knowledge that a bank could call on a much larger proprietorship for resources and that, ultimately, creditors could take legal action against this larger number of partners, would instil greater confidence among note–holders and depositors of the new banks.

Public opinion had already become increasingly convinced of the need for reform in the years immediately preceding the financial crisis. Thomas Joplin, a Newcastle timber merchant and of growing importance as a bank promoter, had been to the fore in contrasting the vicissitudes of the English banks with the stability of the Scottish banking system.[21] In Scotland the Bank of England's privilege did not apply and this had resulted in the typical Scottish bank being larger than its English counterpart. Significantly, the Scottish banks were also more stable – in 1825–6 only four Scottish banks stopped, not one a calamitous failure[22] – and it was this contrast which lent immediate poignancy to the arguments of the reformers. The government acted quickly and, though

the Bank of England showed some reluctance, it was forced to make concessions. Indeed, the Bank's official historian, J. Clapham, portrays the negotiations as being wholly one-sided, believing that: 'The Bank was never so inert in the hands of ministers, so much ordered about, as in 1826.'[23]

The government introduced its legislation in February and the reform of company structure became law as the Banking Co-partnership Act in May 1826. In detail the act permitted the formation of banks with an unrestricted number of partners outside a 65-mile radius from London; it retained the Common Law obligation of unlimited liability on those partners for the debts of their bank; it allowed the new banks to sue and be sued in the name of Public Officers; it forbade the new banks from issuing small short-dated bills on their London agents, by setting the minimum amount and period of such bills at £50 and six months respectively; it prevented bills and notes issued by the banks from being made payable within the 65-mile exclusion zone; and, more positively, it asserted the right of the new type of bank to participate in the discounting of bills in London and elsewhere, provided such bills were not drawn by, or on, the bank itself.

The act was a clear attack on the Bank of England's privileged position, but the Bank had carefully protected its London business both by preventing other joint-stock banks from operating there and by ensuring that the notes and bills of the new banks could not possibly compete with the Bank's own issues in and around the metropolis.[24] Moreover, by way of compensation the government had included a clause in the act which formally asserted the Bank of England's right to open branches anywhere in England, and the law gave the Bank one advantage over rivals by permitting notes issued at any branch to be made payable in London as well as at the branch of issue. Thus, on the basis of the 1826 legislation alone the Bank had conceded very little - its business had long been confined to London and it had ensured that the new banks were kept well away from the capital. But, as will become clear, the 1826 Act was just the

beginning. In the following decades the assault on the Bank's position was to be carried much further.

Finally, before leaving the 1826 legislation, three points should be made about its effectiveness and the implications for future developments. First, on the joint-stock banks themselves the act contained serious deficiences. The most obvious was the ban on their formation in London, but others arose from the lack of detailed regulation. The legislators gave them more or less the same freedom as existing private banks. There were no strictures as to the rights or responsibilities of shareholders. There was no guidance as to share denominations, to the publication and auditing of accounts, or even to the nature of banking business to be conducted. The legal status of the new joint-stock banks was left largely to the courts to interpret under Common Law and this created uncertainty and may well have inhibited early growth. Secondly, it is worth emphasising that the Joint-Stock Bank Act did nothing to alter the law governing the private banks. In England the private partnership continued to be the dominant form of bank for a long time after 1826 and the new joint-stock banks had to establish their businesses in the teeth of opposition from these established firms. Finally, judgement on the 1826 reforms must be that their impact on the amplitude of business fluctuations in the middle decades of the nineteenth century was marginal. Oscillations in monetary conditions and recurrent banking crises continued to occur - the institutional change which was ultimately to moderate the number of bank failures was to be a much more gradual process than the enactment of an Act of Parliament.

STRUCTURE OF THE BANKING SYSTEM

Consolidation

In the second quarter of the nineteenth century a national system of banking arrangements began to emerge. In many respects it was an imperfect system but it was one which enabled the hundreds of small, individual banks in England to overcome the problems

of poor communications inherent in a relatively undeveloped economy, and one which forged greater links between the separate banking systems of England, Scotland and Ireland. It also enabled individual banks to expand their businesses beyond the confines of their own limited resources and, in so doing, greatly enhanced the scale of financial services available to the economy as a whole. In short, the second quarter of the nineteenth century witnessed a quickening in the whole process which was to lead to the creation of a national money market.

This is not to claim that major imperfections did not exist, nor that there were no important gaps in the financial linkages between different towns and regions. Some communities still had no banks and, apart from the very largest customers, local people would have to take whatever terms were offered for deposits, say, in a one-bank rural town or village. But this would be less true in larger towns where rival banks operated and, even before the advent of joint-stock banks in England, very few sizeable communities on the British mainland were more than ten miles or so from a bank. Moreover, as general communications improved, arrangements developed whereby the banks themselves could overcome some of the handicaps of having their office, or offices, confined to a specific locality. Increasingly, in both borrowing and lending they could obtain a more competitive rate of interest, a rate ultimately determined by conditions in the country as a whole.

A critical element in this drawing together of the disparate parts of the money market was the general improvement in communications. For the conduct of day-to-day business, bankers required a speedy and reliable means of remitting cash, securities and other documents, as well as a means of exchanging information. By the end of the eighteenth century mainland Britain already had an effective stage-coach network between major towns. At the start of the period under study the approximate travelling time by coach between London and Liverpool was thirty hours (1821), seventeen hours between London and

Birmingham (1821), and thirty hours between York and Edinburgh (1818).[25] In the 1820s, then, bankers already had access to quick, though not rapid, inter-regional communications. This was to improve dramatically with the establishment of the railway network in the 1830s and 1840s. The steam locomotive was reliable, secure and much faster. Within a short while travelling times along the main lines had been drastically reduced and these continued to improve. By the close of the 1880s, for instance, the fastest trains were taking only four-and-a-half hours from London to Manchester and just eight-and-a-half hours between London and Edinburgh.[26] The bankers quickly recognised the advantages of using the railroads and switched their business away from the highways. Reform of postal services and the introduction in 1840 of a single rate of one pence (ld) for letters, further enhanced internal communications. Finally, the gradual extension of the electric telegraph from the later 1830s ultimately made rapid communication a reality. In other words, from the early nineteenth century the means of communication essential to the creation of a national money market were already present and were to continue to improve, providing an important cohesive influence.

Nevertheless, until well into the second half of the nineteenth century the distinctive feature of the typical English provincial bank – whether a well-established private bank or a new joint-stock bank – was that its business was overwhelmingly local in nature. In this respect the English system lagged behind those of Scotland and Ireland, where the operation of branches in addition to a head office was much more common during the second quarter of the nineteenth century. In England, even those joint-stock banks that began to open branches from the mid-1830s continued to conduct a relatively small, local or regionally-based business. The creation of national banks with extensive branch networks still lay in the future.

Thus, a major problem facing the banks of the early and mid-nineteenth century was how to overcome this inherent isolation. At a practical level they needed a means of remitting funds between different parts of the country and a means of ensuring that they were kept informed as to both the range of investment opportunities available elsewhere and the terms being asked for alternative sources of funds. From the point of view of the national economy both investors and borrowers would benefit if local money markets could be more effectively linked. This would enable more idle funds to be drawn into the banking system and put to active use. It could lead also to important economies for individual bankers as they benefited from the pooling of resources and information. For instance, if a local bank had means of gaining ready access to funds from outside the immediate neighbourhood it could well reduce its own cash holdings. In such circumstances, if an emergency did arise the cash reserve could be readily supplemented from outside. The effective pooling of reserves in this manner would (all things being equal) reduce the aggregate of reserve funds normally held by banks.

Inter-bank Agencies

English provincial banks overcame the problem to a certain extent by developing a provincial agency network. By the mid-nineteenth century the banks in major towns were directly linked through the operation of mutual agencies. Although detailed arrangements varied, to a large degree provincial banks were able to arrange among themselves for the purchase and sale of securities and for the payment, or collection, of debts on behalf of customers. In addition, they supplied each other with general information from different parts of the country on investment opportunities, the state of harvests, bankruptcies, frauds, forgeries, and the like. The Scottish banks had similar arrangements with provincial firms in both Scotland and England, but in Scotland the note exchange was a more tangible arrangement linking the various parts of the system.

Here, expense was minimised by bankers sending to Edinburgh the notes of other banks that they had received and arranging for their mutual clearing, or exchange.[27]

However, provincial-based agencies had only a limited impact on bringing together the various components of the money market into a single national system. Much more important was the London money market, if only because of the sheer volume of financial transactions conducted there. The City of London was the natural centre for the lending and raising of funds by the commercial and financial population of the metropolis and, as such, its banks had access to an unrivalled volume of 'retail' banking business (i.e. dealing directly with the public). It was also the centre for the raising and servicing of governmental finance. But of critical importance from the perspective of the national monetary system was the fact that London's financial intermediaries also participated in a growing 'wholesale' money market, where money was lent to, and borrowed from, other financial intermediaries.

Indeed, the City of London's financial institutions have often been portrayed as being at the centre of a national network of financial conduits through which provincial bank funds flowed. This intermediary role within money markets was especially important in those years preceding the establishment of large-scale national banking companies which, ultimately, were able to achieve the extensive transfer of funds through their own branching networks. For most of the nineteenth century banks from districts where the inflow of deposits generally exceeded the outflow of funds, sent their 'surplus' to London for the purchase of securities from, or as deposits and short-term loans to, City financial institutions. Conversely, local banks based in areas where the demands for loans and investments from industry, commerce and other businesses exceeded local deposit resources, regularly raised extra funds in the City of London. Thus, City institutions were able to channel funds from net saving areas to net borrowing areas, making a direct

contribution to the greater utilisation of financial resources within the country as a whole. In the market for short-term funds, this business essentially revolved around the London discount houses and the London commercial banks.

London Discount Houses

Bills of exchange were a common means of settling mercantile, and other, debt throughout this period and their purchase (or 'discount') was a popular form of investment for bankers. The existence of a national market for such bills - where they could be sold, bought and re-sold - greatly enhanced their attractiveness to the banks; and this national market rested largely with the London discount firms. By the early decades of the nineteenth century a small number of firms, the most important of which was Richardson, Overend & Co, had begun to specialise in bill transactions.[28] Their business was conducted with individuals, industrial and commercial firms, as well as with banks. Initially they operated as true brokers, concentrating on bringing sellers of bills (borrowers) into contact with purchasers (lenders), but gradually some firms began to operate on their own account. They borrowed funds directly from lenders and they bought and sold bills as principals. During the second quarter of the nineteenth century the London discount market consisted of firms at different stages of this development but, in general, the market for bills was growing strongly and becoming more organised. At this time the discount firms had already established contacts with both provincial and London bankers. After 1826 the London banks were a growing source of funds for the discount firms, and the provincial banks were both purchasers and suppliers of bills. It was in this way that the London discount market provided national intermediation for local banks. It received funds on deposit from, and sold bills to, 'net savers'; and bought bills from 'net borrowers'. This was the way in which it contributed to the fuller utilisation of the nation's financial resources and helped break down barriers to local money markets.

London Banking Agencies

London commercial banks provided the second force for cohesion within the system. By the early nineteenth century a number of the London banks had already established an important agency network with English provincial bankers. The importance of the London bill and security markets also meant that the Scottish and Irish banks had to have accounts with City banks. These inter-bank links enhanced the business of London banks and broadened the horizons of provincial firms. Moreover, when English joint-stock banks were established in the provinces under the new legislation they, too, quickly opened London agency accounts. In general, therefore, the London-country agency system formed an important part of the unifying process between local money markets and the centre.

The London bank would receive funds from, and make loans to, provincial agents, often through the medium of bills of exchange. In this way they performed some of the same functions as the discount firms. More importantly, however, the London banks conducted a more strictly 'agency' business, providing a number of services for the provincial banker in return for a fee.

Thus, the London bank would meet financial claims on the provincial bank when such claims fell due in London - paying cash for notes, drafts and bills drawn by, or on, the provincial firm. The importance of London in the national economy meant that it was essential for local banks, and many of their customers, to have an efficient means of remitting funds there and drawing bills on a London agent was an effective way of achieving this. London agents would also buy or sell securities on their country agents' behalf (or arrange for, say, a stock broker to do so). In this way, the London bank was in regular correspondence with its provincial contacts and would provide a great deal of information as to conditions in financial markets generally. London agents also provided specific advice on such matters as investment

opportunities, the creditworthiness of firms that the provincial banker may have dealings with, implications of government policy, new legislation, and so on. Moreover, if a London bank was at the centre of a large network of provincial agencies (as, for instance, were the two London firms of Glyn & Co., and Loyd, Jones & Co.) then it would be in a position to facilitate the exchange of both information and funds between one locality and another. Finally, in an emergency a provincial bank could augment its local cash resources by either drawing on a special deposit kept with the London agent for that purpose, or by borrowing from the London bank. Provincial banks often treated their London accounts as an important part of their cash, or quasi–cash, reserve.

In general, therefore, the London agency arrangements provided two main means of unifying a fragmented money market. First, they were the channels through which flowed regular information on conditions affecting London and, indeed, national and international money markets. They also provided the provincial bank with ready access to the London money market, either as borrower or investor. Here, the London bank was in a position to act as intermediary between such borrowers and investors, either by directly diverting funds from one of its own provincial agents to another, or by indirectly seeking funds, or borrowers, from other London financial institutions. Inevitably, local money markets became less isolated and conditions there increasingly reflected what was happening in the country as a whole.

Bank of England

The other London institution which played an important role in the creation and functioning of the banking system was the Bank of England. The Bank was unique in many respects. As will be shown in later chapters, it was not so much the conduct of its commercial business which distinguished the part it played but rather those features of its business which were to lead to its evolution as a central bank with responsibility for monetary policy. In particular, by

the 1820s it had already become the main repository of the nation's specie reserves. Other banks held some cash themselves in order to meet customers' needs for transaction purposes, but there was pressure on them to keep this to a minimum because, as an asset, cash earned no interest for the bank.

The agency network enabled banks to economise here and pool their reserves. In those periods in which the general public wished to hold more cash, the provincial banks could draw on their London accounts by running down their balances with discount houses and London agents, or by selling bills and other securities. Beyond a certain point, however, the London money market could find its own cash holdings falling below desired levels. Higher interest rates could deter borrowers but, ultimately, more cash may have been required and it is here that the Bank of England played a critical supporting role. If the system as a whole required more cash it would borrow from the Bank. The Bank would not only provide gold and silver coin but would also issue its own notes which from an early date were recognised as cash in London and Lancashire and which, from 1833, were legal tender in England and Wales. It was in this sense that the Bank of England held the ultimate cash reserve of the country.

Two institutional aspects should be emphasised. First, after the 1826 crisis few commercial banks borrowed directly from Bank's head office in London. It was rather the culmination of a series of indirect chain reactions. The English provincial, Scottish and Irish banks would borrow from the London banks and London discount houses; the London banks would restore their cash reserves by borrowing from the discount houses; and it was the discount houses who, ultimately, borrowed directly from the Bank.[29] However, a second institutional point modifies this picture somewhat, for two changes enabled the commercial banks, to some extent, to draw directly on Bank of England funds. The first change followed the 1825–6 crisis when the Bank began to open a number of English provincial branches and these provided

borrowing facilities for some local banks. The second change was a gradual development that continued throughout the nineteenth century, namely the accumulation of bankers' cash reserves at the Bank of England. As with the provincial bankers' balances at London agents and discount houses, these could be drawn upon directly if necessary.

It was in this manner that, in normal circumstances, the Bank of England acted as a general buttress to the nascent banking system, effecting the pooling of cash reserves and reducing the system's susceptibility to shocks. Moreover, the growing dependence of all banks on the London money market meant that the Bank of England could more easily influence national monetary conditions through its own operations in that market. Again it was not a perfect bond but it was an important additional factor in the formation of a national money market.

SUMMARY

The following linkages between the most important sections of the banking system of the 1820s and 1830s should be emphasised:

1. The London money market acted as a central intermediary for the whole system – attracting funds from investors throughout the country and providing funds to borrowers.
2. The London bankers' agency business placed them at the centre of a two-way flow of funds and information.
3. The London discount firms dealt directly with the Bank of England, London banks, provincial banks and with private individuals and firms.
4. The provincial banks operated agencies amongst themselves which supplemented their more important London agency arrangements.
5. The Bank of England held the largest

reserve. While it did not borrow money itself by selling bills to the discount market it was prepared to buy bills from, and make loans to, financial institutions (especially the discount houses). Most of its business was confined to London but the opening of branches after 1826 enabled it to supply cash directly to bankers in a small number of major English towns.

6. Three separate banking systems existed in the United Kingdom – in England and Wales, in Scotland and in Ireland – with separate institutional and legal developments. However, commercial ties between the three countries in the form of inter–bank agencies and accounts in London helped provide important institutional links across money markets.

FURTHER READING

W.T.C. King, *History of the London Discount Market* (Routledge & Sons, London, 1936), especially chs. 1–2.

S.G. Checkland, *Scottish Banking. A History, 1695– 1973* (Collins, Glasgow and London, 1975), Parts 1–3.

G.L. Barrow, *The Emergence of the Irish Banking System, 1820–1845* (Gill & Macmillan, Dublin, 1975).

L.S. Pressnell, *Country Banking in the Industrial Revolution* (Oxford University Press, Oxford, 1956).

NOTES

1. *Select Committee on the Bank Acts*, PP 1857 (Sess. 2), vol. 10, Appendix 21, p. 234.
2. 7 Geo. IV, c.6.
3. 7 Geo. IV, c.46.
4. The size of the area within which joint–stock banks were banned was based on a similar exclusion zone of 50 miles from Dublin granted to the

Bank of Ireland in 1821; 65 English miles being roughly equivalent to 50 Irish miles. For further details see T. E. Gregory, assisted by Annette Henderson, *The Westminster Bank through a Century* (2 vols., Oxford University Press, London, 1936), vol. 1, pp. 14–22.

5. W.R. Bisschop, *The Rise of the London Money Market, 1640–1826* (King & Son, London, 1910), chs. 1, 3; Ellis T. Powell, *The Evolution of the Money Market, 1385–1915* (Financial News, London, 1915), ch. 3; R.D. Richards, *The Early History of Banking in England* (King & Son, London, 1929), chs. 2–4.

6. On the Bank's early years see Sir John Clapham, *The Bank of England: A History* (2 vols., Cambridge University Press, Cambridge, 1945), vol. 1, pp. 1–104.

7. Philip W. Matthews, *The Bankers' Clearing House* (Pitman & Sons, London, 1921), ch. 1.

8. This account is drawn from G.L. Barrow, *The Emergence of the Irish Banking System, 1820–1845* (Gill & Macmillan, Dublin, 1975), ch 1.

9. Ibid., p.17.

10. 1 & 2 Geo. IV, c.72.

11. On Scottish banking developments see S.G. Checkland, *Scottish Banking. A History, 1695–1973* (Collins, Glasgow and London, 1975); and Charles W. Munn, *The Scottish Provincial Banking Companies, 1747–1864* (John Donald, Edinburgh, 1981). The quotation is from Checkland, p. 92.

12. The Royal Bank and the British Linen Company were both formed by Royal Charter, and the Bank of Scotland by an Act of the Scottish Parliament in 1695.

13. B.L. Anderson, 'The Attorney and the Early Capital Market in Lancashire' in Francois Crouzet (ed.), *Capital Formation in the Industrial Revolution*, (Methuen & Co., London, 1972), pp. 223–55.

14. Much of the following account draws on L.S. Pressnell, *Country Banking in the Industrial Revolution* (Oxford University Press, Oxford, 1956).

15. Contemporary sources make it impossible to be too precise but the scale of change is clear enough – Pressnell, *Country Banking*, ch. 2.

16. Ibid., p. 13.

17. While contemporaries referred to such note denominations as 'small', it should be borne in mind that £1 or £2 were fairly large sums in the days when skilled male workers may have been earning about £1.00 to £1.40 per week (during the 1830s and 1840s).

18. Arthur D. Gayer, W.W. Rostow and Anna Jacobson Schwartz (assisted by Isaiah Frank) *The Growth and Fluctuations of the British Economy, 1790–1850* (2 vols., Oxford University Press, Oxford, 1953), vol. 1, pp. 79–81, 103–7, 131–5. A brief summary of the main events of the Restriction Period is contained in Edwin Cannan (ed.), *The Paper Pound of 1797–1821. The Bullion Report* (King & Son, London, 1919; reprint Cass & Co., London, 1969).

19. Gayer, Rostow and Schwartz, *British Economy*, pp. 205–6; Frank Whitson Fetter, *Development of British Monetary Orthodoxy, 1797–1875* (Harvard University Press, Cambridge, Mass., 1965) p. 107.

20. For a recent assessment praising the merits of the Scottish note–issuing system see Lawrence H. White, *Free Banking in Britain. Theory, Experience and Debate, 1800–1845* (Cambridge University Press, Cambridge, 1984).

21. For some details of Joplin's early connections with joint–stock banks see Gregory, *Westminster Bank*, vol. 1, pp. 335–53.

22. Checkland, *Scottish Banking*, pp. 315, 406–9.

23. Clapham, *Bank of England*, vol. 2, p. 107. See Gregory, *Westminster Bank*, vol. 1, pp. 17–22, for a brief summary of the formal negotiations.

24. W.F. Crick and J.E. Wadsworth, *A Hundred Years of Joint–Stock Banking* (Hodder & Stoughton, London, 1936), p.17.

25. W.T. Jackman, *The Development of Transportation in Modern England* (Cambridge University Press, Cambridge, 1916; reprinted by Cass &

Co., London, 1962), pp. 696–7.

26. T.C. Barker and C.I. Savage, *An Economic History of Transport in Britain*, 3rd. edn (Hutchinson & Co., London, 1974), p. 99.

27. Munn, *Scottish Provincial Banking*, pp. 21–9, 47–8, 184–92. A Dublin note exchange was established for the Irish Banks in 1845 – See Barrow, *Irish Banking*, pp. 183–4.

28. For the early history of the discount market see W.T.C. King, *History of the London Discount Market* (Routledge & Sons, London, 1936), especially chs. 1–2; Pressnell, *Country Banking*, pp. 84–104; and W.M. Scammell, *The London Discount Market* (St Martin's Press, New York, 1968), ch. 5.

29. This facility was to be greatly reduced in 1858. The system of borrowing outlined here is a generalisation. Obviously some banks did borrow directly from the Bank of England and some, such as the Bank of Ireland, had special arrangements to do so.

Chapter Two

GROWTH OF THE BANKING SECTOR, 1826–1913

This chapter quantifies the scale of long–term developments in the monetary sector during the ninety years or so to the outbreak of the First World War. The figures to be presented highlight both secular growth and structural change. Naturally they reflect changes in the environment pertaining specifically to banks, but more fundamentally they also capture the impact of long–term trends within the broader economy. Legislation was of some significance, but it was essentially the continuation of economic growth – with the long–term rise in population and *per capita* income – that led to fundamental changes in the kinds of money people wished to hold and use, and in the uses to which they were prepared to put different financial institutions.

The overall growth of commercial banks and the development of new and more appropriate techniques of conducting their business interacted with general economic expansion, being both cause and effect of the spread of the banking habit. Growing demand made the provision of more services economically feasible, whereas the increase in the number of branches encouraged the public to open and use bank accounts. On the one side, savers were increasingly willing to place their funds with the commercial banking sector and, on the other, individuals and firms sought greater financial assistance from outside the small circle of friends and associates to which many

had turned in the early nineteenth century.[1] Bargains struck within the money market became less dependent on personal contact and more generally subjected to impersonal, commercial considerations.

Two aspects of these long-term monetary developments are emphasised in this chapter:

1. The size and composition of the money stock.
2. The absolute and relative growth of monetary institutions.

THE IMPORTANCE AND DEFINITION OF MONEY

The importance within the national economy of the size and composition of the stock of money held by the public is generally appreciated. Indeed, many economists would claim that changes in the size of the domestic money stock have been significant determinants of changes in the overall level of business activity through their effects on output, prices, or both.[2] It could be argued that, on assumptions of full employment, a rise in the stock of money relative to the amount of domestic goods and services available would be inflationary (push up domestic prices) and encourage an increase in imported goods. In such circumstances, information on what is happening to the stock of money becomes important both to an understanding of economic events and, from the point of view of policy, to the control of monetary expansion. For long-term analysis, changes in the money stock during the nineteenth century were one dimension of the growing sophistication of an industrialising and maturing economy, of the switch to more convenient means of making payments and settling debts. They also reveal one aspect of how the public held its assets, by providing a measure of its preference for money balances.

Before changes in the stock of money can be quantified, however, it is first necessary to define 'money'. Of the various functions of money – unit of account, standard of value, and medium of exchange – it is the third which is of most practical use in

determining which items should be considered as part of the stock of money. But even if money is defined as 'generally–recognised means of exchange', selection difficulties remain. How 'general' does the use of a particular medium of exchange have to be in order to be classed as money? It would be universally agreed that coins used in everyday transactions were money but what of, say, trade credit facilites used regularly among industrial and commercial firms? What of deposits with bankers? Should both banks' current accounts and deposit accounts be included? For most of the period the former were subject to immediate withdrawal and conversion to coin and notes as well as to chequeing, whereas the latter usually required some notice of withdrawal but, nevertheless, could be converted to cash quickly. And what of deposits or shares held at building societies and other financial institutions?

These examples are given to illustrate that there can be no one, universally–accepted definition of money. Moreover, in an historical study the problems are compounded because the 'monetariness' of particular media of exchange varied over time. For instance, in the nineteenth century the growing use of cheques undoubtedly increased the 'monetariness' of bank deposits on trend. Another major difficulty with an historical study is that of data – in the past data may not have existed, or may not now be available, or may be unreliable. In practice, therefore, decisions as to what items are included as money are guided by commonly–accepted definitions used during the period, and by the availability of relevant data. For present purposes coin, bank notes, and commercial bank deposits are included as components of the domestic money stock; and this chapter is particularly concerned to measure the growth of bank money and to compare what happened to this with the experience of other forms of money.

In this examination of long–term monetary change it will be useful to relate actual experience to a hypothetical development path such as recently expounded by Michael D. Bordo and Lars Jonung.[3]

These writers, following the earlier work by Wicksell and others, have suggested that the normal pattern of long-term monetary change in a developing economy is for there to be, first, an upward trend in the ratio of the money stock to national income (a fall in the income velocity of money) followed by a downward trend in the ratio (rise in velocity). According to this approach the earlier phase of falling velocity results from the process of 'monetisation'. By 'monetisation' is meant a process whereby barter and payments in kind are replaced by money payments. A major driving force is the greater division of labour associated with economic development because this leads to more frequent exchanges and to the use of more sophisticated methods of conducting those exchanges. The increasing use of money results from the growth of commercial banking which provides the public with acceptable forms of money in the shape of notes and deposits. After some time (measured in decades or – depending on the dating of the beginning of the monetisation phase – in centuries) the public's long-term demand for money relative to income begins to wane and the money stock falls in relation to income, due partly to the process of 'financial sophistication' and partly to the greater economic stability and security associated with economic development.

For present purposes, it is the concept of 'financial sophistication' which is particularly interesting. The argument here is that, as an industrial economy continues to mature a growing range of financial institutions and services is developed and these provide increasingly attractive alternatives to the commercial banks. New and more numerous financial assets are evolved – building society shares, insurance annuities, savings bank accounts, bonds and shares – and, as a result, there is a fall in the demand for money as an asset. Economy in the use of money balances also derives from long-term technical improvements in the means of communication and transfer (e.g. the electric telegraph in the nineteenth century).

According to this approach, then, the earlier of

the identified phases is characterised by a rise on trend in the demand for money relative to income (fall in velocity) and the later phase by a fall on trend in the demand for money (rise in velocity). It is accepted by Bordo and Jonung that:

> velocity is influenced by both sets of institutional variables at the same time, but the monetization effect will first dominate, causing velocity to decline. Later, the influence of financial sophistication and economic stability will be stronger than the monetization process causing velocity to rise. The relative strength of these two sets of forces will determine the dating of the turning point of velocity.[4]

The thesis, thus, provides a meaningful framework in which to examine long-term trends within the main components of the money stock in the UK.

COMPONENTS OF THE STOCK OF MONEY

Coin

During the nineteenth century coins (composed mainly of gold or silver) remained an extremely important part of the total money supply. The gold standard under which the banks operated applied to the domestic economy as well as to international transactions. Thus, the Bank of England was obliged by law to keep a reserve of gold (and silver) coin to pay note holders and depositors when they required it. The commercial banks, too, held a stock of coin in order to meet customers' needs and, of course, at any one time the general public would have coin in its own possession. Indeed, as the smallest bank note denomination in England and Wales was £5 and the use of cheques was still in its infancy at the beginning of the period, it is assumed that most retail transactions were settled in coin in these years. Even in Scotland and Ireland the smallest bank notes were for £1, which was quite a large sum at a time (e.g. the 1830s and 1840s) when skilled workers earned

something in the region of £1 to £1.8s. per week. Obviously legal restrictions here helped maintain the importance of coin and limited the role of bank money within the monetisation process as it affected retail transactions.

No fully accurate estimates exist as to the size of the stock of coin in the hands of the public during the nineteenth century. One major problem with making any calculation lies in the fact that holders of coin were free to import and export it, and to melt it down, say, for jewellery. Thus, the figures in Table 2.1 are for guidance only. Nevertheless, these emphasise the importance of coin throughout the nineteenth and early twentieth centuries, while illustrating its failure to grow as fast as bank liabilities. As both the population and the standard of living rose, the need for cash obviously increased and the supply of coin continued to provide a basic medium for retail transactions, wage payments and the like; and despite the growth in bank money, coin was still contributing about 12 per cent of the total money supply by the early years of this century.

Bank Notes

Bank of England Notes. The Bank of England issued notes payable to bearer on demand in denominations of £5 and over, redeemable in specie at the Bank. From 1833 they were legal tender in England (though not in Scotland) and, as such, formed a critical part of the commercial banks' cash reserves and circulated widely among the public.[5] However, as column 3 in Table 2.1 shows, in absolute terms Bank of England notes were a fairly stable element in the long-term growth of the money supply (especially from the 1870s), and a small and declining proportion of the total. They had enjoyed some expansion in the 1860s and 1870s in response to the increased demand for money of all kinds, and at that time legal restrictions in England meant that only the Bank of England could expand its note circulation to any degree. An increase in the Bank's specie and bullion reserve provided the means to push up this circulation by about 22 per cent

Table 2.1 : U.K. Money Stock and its Main Components, 1825-1913

£ million. Ratio (%) of each component to the total money stock is given in parentheses.

Date[a]	Coin in Circulation	Bank of England Liabilities				Comm. Bank Note Liabilities				Comm. Bank Deposit Liabilities				Total Commercial Bank Notes & Deposits [10+14]	Total Money Stock [2+3+4+15]
		Notes in Circul-	Deposits held by General Public[b]	Government Deposits	Bankers' Balances	England and Wales	Scotland	Ireland	Total	England and Wales	Scotland	Ireland	Total		
1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16
1825	-	19.7	11.3[c]	-	0.8	-	3.3	-	-	-	14.5	-	-	-	-
1850	61.0 (23.9)	18.9 (7.4)	9.4 (3.7)	9.8	1.5	6.3 (2.5)	3.2 (1.2)	4.6 (1.8)	14.1 (5.5)	106.6 (41.7)	35.0 (13.7)	10.4 (4.1)	152.0 (59.5)	166.1 (65.0)	255.4
1875	105.1 (16.5)	25.6 (4.0)	11.7 (1.8)	7.6	9.3	4.8 (0.8)	5.9 (0.9)	7.1 (1.1)	17.8 (2.8)	366.4 (57.4)	79.8 (12.5)	32.3 (5.1)	478.5 (74.9)	496.3 (77.7)	638.7
1900	119.9 (12.0)	27.6 (2.8)	21.7 (2.2)	10.1	24.1	1.2 (0.1)	7.8 (0.8)	6.6 (0.7)	15.6 (1.6)	664.4 (66.3)	104.7 (10.4)	48.6 (4.8)	817.7 (81.6)	838.6 (83.7)	1002.5
1913	144.3 (12.0)	27.7 (2.3)	13.3 (1.1)	29.9	39.3	0.2 (0.02)	8.2 (0.7)	9.2 (0.8)	17.6 (1.5)	803.7 (66.8)	125.9 (10.5)	71.1 (5.9)	1018.7 (83.1)	1018.3 (84.6)	1203.6

Sources and Notes: over page

Table 2.1 (Cont'd)

Notes

a. All figures are five-year averages centred on the dates shown *except* for Scottish bank liabilities, 1825 and 1850; Irish bank deposits, 1850–1913; and for 1913 when an average for 1910/13 is used.
b. Includes seven-day and other short-dated bills.
c. Includes government deposits (1825 figure only).

Sources

1. Bank of England liabilities – 'Bank of England Liabilities and Assets: 1696 to 1966', Appendix to *Bank of England Quarterly Bulletin*, vol. 7, June 1967; contemporary issues of *The Economist*.
2. Commercial bank notes – B.R. Mitchell and P. Deane, *Abstract of British Historical Statistics* (Cambridge University Press, Cambridge, 1962), pp. 450–1 *except* for Scotland, 1825.
3. Scottish deposit liabilities and notes (1825) – S.G. Checkland, *Scottish Banking. A History, 1695–1973* (Collins, London, 1975), pp. 424, 426, 743–7.
4. English deposit liabilities – Michael Collins, 'Long-term Growth of the English Banking Sector and Money Stock, 1844–80', *Economic History Review*, 2nd ser., vol. 36, 1983, Appendix 4, p. 394, for 1850 and 1875; Forrest Capie and Alan Webber, *A Monetary History of the United Kingdom, 1870–1982* (Geo. Allen & Unwin, London, 1985), vol. 1, p. 130, for 1900 and 1913.
5. Coin – Forrest Capie and Alan Webber, 'Total Coin and Coin in Circulation in the United Kingdom, 1868–1914', *Journal of Money, Credit and Banking*, vol. 15, 1983, pp 30–31. The 1850 estimate has been made by the author on the basis of backwards extrapolation using the figures for bullion movements in Albert H. Imlah,

Economic Elements in the Pax Britannica (Russell & Russell, New York, 1958) p. 71.

6. Irish deposit liabilities – 1850 figure from W. Newmarch, 'An Attempt to Ascertain the Magnitude and Fluctuations of the Amount of Bills of Exchange ... 1828–1847', *Journal of the Statistical Society*, vol. 14, 1851, p. 169, where he estimates deposits and 'private capital' to be £12.4 m. – £2 m. has been deducted here for 'private capital'. 1875 figures from S. Nishimura, 'The Estimates of Bank Deposits in the UK, 1870–1913' (unpublished typescript, University of Hosei, 1976) p. 20. 1900 and 1913 figures from David K. Sheppard, *The Growth and Role of UK Financial Institutions, 1880–1962* (Methuen & Co., London, 1971), pp. 180–1.

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between 1865 and 1875. However, the Bank's note issue then stabilised at some £26 million–£28 million and its relative importance plummeted (dropping from 4 per cent of the money supply to about 2 per cent, 1875–1913) as other components of the money stock expanded. Nevertheless, the fact that Bank notes were legal tender and were part of the commercial banks' cash reserves, continued to afford them a special status.

Commercial Bank Notes. Many English commercial banks outside London also issued bearer notes during the nineteenth century, although by the early twentieth century the practice had declined so much that the handful of surviving issuers kept up their circulations largely as a matter of prestige and public relations. These notes were used for retail and other cash transactions within the locality of the issuing bank. They were not legal tender but depended upon public confidence for their circulation. Over the long run notes were replaced by deposits and the use of cheques, or by Bank of England notes which were more secure and more widely accepted. The prestige of the Bank of England and the fact that its notes

were legal tender ensured that they eventually circulated throughout the country. Legal restrictions were also important in the early demise of the private note issue in England. As with Bank of England notes, the abolition of notes under £5 denomination in 1826 meant that bankers lost any chance of supplying notes for the great bulk of retail transactions. Moreover, the 1844 Bank Charter Act fixed the maximum value of notes that individual banks could circulate and encouraged the eventual disappearance of the English commercial bank note. In consequence, English notes which in 1850 were already only about 2.5 per cent of the money supply as defined in Table 2.1, were down to a minute 0.02 per cent by 1913.

Scottish and Irish experience was somewhat different. Notes of 'small' denomination (between £1 and £5) were not banned in 1826, nor were Bank of England notes made legal tender. This partly accounts for the wider circulation enjoyed by commercial bank notes in both Scotland and Ireland. Notes in these countries enjoyed expansion in the period as a whole, despite the severe blow to confidence suffered in the wake of the City of Glasgow Bank's failure in 1878 and despite the restrictive legislation of 1845. Two separate acts of 1845 (one for Scotland, and one for Ireland) had imposed limits to the 'authorised' circulation of individual banks, any excess to be matched – £ for £ – by an increase in the size of the bank's specie (largely gold) reserve. But, as Table 2.1 shows, although both Scottish and Irish bank notes in total continued to grow (and have done so through the twentieth century) they were declining in relative importance. By the mid–nineteenth century notes were already only about one–tenth of the value of Scottish deposit liabilities, and the faster growth of deposits confirmed the dwindling significance of notes among commercial bank liabilities and in the total money stock. This experience was shared by Irish notes – they continued to grow through the period as a whole, but declined relative to deposits. Thus, in all three countries – England, Scotland and Ireland – commercial bank notes were of declining importance

and, by the 1870s, were already only a very small part of the money stock held by the public.

Bank Deposits

Bank of England Deposits. It is useful to distinguish three types of Bank of England deposits: deposits held by the general public; government deposits (known as 'public deposits'); and bankers' balances. Although it came to act as a central bank, the Bank of England was formally a non-government institution with private customers of its own and it was the balances of these customers which formed part of the general money supply. However, during the nineteenth century the Bank's commercial banking business was rarely competitive enough to share in the general expansion of banking services – for instance, unlike most other banks it did not normally pay interest on deposits. In consequence, compared to the commercial banks its private deposits experienced only modest growth or even decline (after 1900 in Table 2.1), and they were not a significant factor in the growth of the general money supply.

Government balances at the Bank arose from its function as the government's banker and these continued to be an important, long-term source of revenue for the Bank. In calculating the size of the money stock in the hands of the general public these deposits are excluded, however, as the government must be included among the 'monetary authorities' and, as a result, its deposits were inter-authority liabilities.

Bankers' balances at the Bank are also excluded when calculating the money supply as they did not form part of the balances in the hands of the general public. Together with coins and Bank of England notes, these balances were part of the commercial banks' reserves because they could be converted quickly to cash or used to settle inter-bank debts. Thus, they were part of the supply of 'high-powered money' – that is, part of the supply of cash held by the banks as reserves against note and deposit liabilities. As can be seen from Table 2.1, it was this item which

experienced the greatest growth among the Bank's liabilities as the commercial banks, discount houses and other financial institutions found it increasingly convenient to build up their balances at the Bank.

Commercial Bank Deposit Liabilities. As with the coin circulation, when it comes to measuring commercial bank liabilities, data deficiences, particularly in the earlier period, mean that only estimates can be made. Data constraints also necessitate the lumping together of all types of deposits – including both current and deposit accounts – and, therefore, obscure the fact that over this period the 'monetariness' of deposits changed significantly. As already noted, the growing popularity of cheques meant that current account deposits would have been a more readily-recognised medium of exchange than, say, deposit accounts whose encashment and withdrawal was subject to a variety of restrictions. Be that as it may, when it comes to the statistics it is necessary to consider deposits as a single group.

Of all the major items of the money stock it was these commercial bank deposit liabilities that contributed the greatest growth by far. It was the change in deposits that captured the extent of the monetisation process in the UK. Tables 2.1, 2.2 and 2.3 show that in total they rose almost seven-fold from 1850 to 1913. Deposits per head of the population rose from £5.50 to £22.30 and whereas just £27.10 of bank deposits had been held in 1850 for every £100 of Gross National Product, this was up to £43.60 by the First World War. Similarly, deposits became more important within the total money supply: rising from some 60 per cent in 1850, to 75 per cent by 1875 and still further to over 83 per cent by 1913. In other words, during this period it was the commercial banks who were contributing the bulk of the new money needed by the developing British economy. Of the three countries, English bank deposits grew the fastest in absolute terms and within the English sector it was the joint-stock banks, with large capital resources and expansionary branching

Table 2.2 : U.K. Monetary Change, 1850-1913

Date[a]	a) Commercial Bank Deposits per head of population (£)					b) U.K. Commercial Bank Deposits per £100 of GNP at factor cost (£)	c) Money Stock as Ratio to GNP (%) (the reciprocal, Velocity, is given in parentheses).
				U.K.			
	England & Wales	Scotland	Ireland	Current Prices	Constant Prices[b]		
1	2	3	4	5	6	7	8
1850	6.00	12.20	1.40	5.50	6.00	27.10	45.5 (2.2)
1875	15.20	22.70	6.10	14.60	13.30	38.20	50.9 (2.0)
1900	20.70	23.60	10.90	20.00	20.50	45.20	55.4 (1.8)
1913	22.40	26.60	16.20	22.30	21.50	43.60	52.4 (1.9)

Notes: a Where possible all figures are five-year averages centred on the dates shown, *except* for 1913 when an average for 1910/13 is used.

b The price index used is Phyllis Deane's implicit price deflator (GNP at factor cost), 1900 = 100.

[over]

Table 2.2 (Cont'd)

Sources:

1. Monetary data from Table 2.1.
2. Population figures from B.R. Mitchell and P. Deane, *Abstract of British Historical Statistics* (Cambridge University Press, Cambridge, 1962), pp. 8–10.
3. GNP figures are from Phyllis Deane, 'New Estimates of Gross National Products for the United Kingdom, 1830–1914', *Review of Income and Wealth*, ser. 14, 2, June 1968, pp. 104–7. These have been preferred to those in C.H. Feinstein, *National Income, Expenditure and Output of the United Kingdom, 1855–1965* (Cambridge University Press, Cambridge, 1972) solely on the grounds that they cover more of the period. Use of Feinstein's figures for the later dates produced the following results:

	Commercial Bank Deposits per £100 of GNP (£)	Money Stock as Ratio to GNP (%)
1875	42.00	49.7
1900	47.40	53.1
1913	46.20	50.7

policies, which experienced the most rapid growth.[6] In general, although the coin circulation remained fairly buoyant, the rapid expansion of bank deposits is clear evidence of a growing sophistication and maturation of the economy and its means of settling debts. The figures emphasise the importance of the commercial banks within the history of British economic development.

Total Money Stock

Combining the various monetary items enables the production of estimates for the total stock of money

Table 2.3: U.K. Monetary Growth, 1850-1913 (per cent per annum, continuously compounded)

Period	UK Commercial Bank Deposits		Total Money Stock	
	Current Prices	Constant Prices	Current Prices	Constant Prices
1848/52-1873/77	4.7	4.0	3.7	3.0
1873/77-1898/1902	2.2	2.7	1.8	2.3
1898/1902-1910/13	1.6	1.1	1.4	0.1
1848/52-1910/13	3.0	2.8	2.5	2.3

Source: As Table 2.1

held by the public for the period since 1850. The figures are given in Table 2.1, column 16. Overall the money stock grew somewhat less than five-fold between 1850 and 1913, at an annual compound rate of growth of 2.5 per cent (Table 2.3).

Significantly, the figures in Table 2.2, column 8, conform to the pattern predicted by the Bordo/Jonung hypothesis - at first, the ratio of money to Gross National Product shows a long-term tendency to rise (from 45.5 per cent in 1850, through 50.9 per cent in 1875, to 55.4 per cent in 1900) and, then, falls (to 52.4 per cent in 1913). In fact, the study by Bordo and Jonung, as well as a similar one by Forrest Capie and Geoffrey Wood[7], failed to find the expected 'U-shaped' movement in income velocity for the UK. Their data series did not begin until the 1870s, however, and the inclusion here of earlier figures makes the pattern clearer.

The growth in money balances was strongest in

the middle decades of the nineteenth century when the commercial banks were expanding rapidly, reaching out to new customers and extending their branch networks. But this growth was already levelling off by the late nineteenth century. Table 2.3 shows that real monetary growth was very high, in historical terms, during the third quarter of the century when an annual growth rate of 3 per cent (3.7 per cent in nominal terms) was achieved. It is also clear that the main contribution to this aggregate figure came from the sharp expansion of bank deposits, which grew at 4 per cent per annum (4.7 per cent at current prices). However, both bank deposit and money stock growth rates eased noticeably in the last quarter of the century and this decline went even further in the Edwardian years, when real monetary growth was very close to zero and the trend in income velocity was reversed. The *per capita* and other figures in Table 2.2 provide strong corroborative evidence of a sharp slow-down in banking expansion around the turn of the century.

There are two ways of looking at this relative stagnation. From the public's point of view it could well have been that alternative forms of holding liquid assets were becoming more plentiful and more attractive (in terms of security, accessibility and profitability). In other words – as Bordo and Jonung suggest – the process of financial sophistication was becoming more powerful. In particular, the expansion of the savings bank and building society movements (and, more selectively, of the overseas banking sector in London) may have attracted proportionately more of the funds which had previously gone to the commercial banks. Such deposits in other financial institutions are not included in the definition of the money supply used here and, thus, do not add to its growth. From the point of view of the banks, the levelling-off of growth may have been a sign of market 'maturation'. Perhaps by 1900 the more readily exploitable parts of the retail deposit market had already been tapped and new branches were opening up in less densely-populated and less wealthy areas, or were